

Nyati, MD and CEO of Swastika Investmentmart expects the Nifty to hit 25,500 and Sensex to reach 85,000 by 2024-end. “The anticipated BJP victory in India’s upcoming general elections is already partially priced in, but a confirmed win could trigger further positive sentiment,” says Nyati, adding that rate cut cycles in both the US and India—expected to begin in Q1FY25—has historically coincided with market rallies. “However, with elections in both the countries and amid the ongoing geopolitical tensions, volatility remains a wild card,” he cautions.

Further, notwithstanding the fluctuations in investments made by foreign institutional investors in Indian equities throughout 2023, the inflows have been substantial on a net basis. The flow of domestic capital into the equity market has also continued to reach all-time highs, particularly via systematic investment plans (SIP)—that saw inflows of ₹1.84 lakh crore in 2023; the figure for domestic investors stood at ₹1.49 lakh crore in 2022 and ₹1.14 lakh crore in 2021, whereas foreign institutional investors bought shares worth ₹1.71 lakh crore in 2023.

Citing concerns around the high valuations being seen in the market, Tanvi Kanchan, Head of Corporate Strategy at Anand Rathi Share and Stock Brokers, says that shares of Indian firms, particularly mid- and small-cap ones, will generate lower returns in 2024 compared to 2023. “Therefore, although we maintain a positive outlook for Indian equities over the medium to long term, we believe that investors should reduce their return expectations for 2024.”

Meanwhile, estimates suggest the country’s stock market capitalisation (m-cap) has reached around 120 per cent of the country’s GDP in FY24 amid the ongoing rally in the markets, compared with the 10-year average of around 87 per cent. The ratio for markets such as the US,

Japan and China stand at around 155, 103 and 81 per cent, respectively. The m-cap-to-GDP ratio, popularly known as the Buffett indicator, is used to measure how a particular market is valued compared to its historical average. However, the price-to-earnings ratio of large-cap (Nifty 50) stocks looks fairly valued at 23.15 times compared with the 5- and 10-year averages of 26 and 24.6 times, respectively.

So, should the soaring m-cap-to-GDP ratio worry investors? Kranthi Bathini, Equity Strategist at Wealth-Mills Securities, says: “Given the kind of high growth prospects the Indian economy is exhibiting and due to the prospects of long-term sustainable growth coupled with high visibility of corporate earnings, it is not an alarming situation.” India’s GDP grew over 7 per cent during the first two quarters of FY24.

But in the primary markets, data collated by primedatabase.com, shows that as many as 57 firms

raised ₹49,434 crore through main board listings in 2023, compared to the ₹59,302 crore raised by 40 IPOs in 2022, down 17 per cent. However, excluding the mega IPO of LIC that came out in 2022, IPO mobilisation increased by 28 per cent in 2023 from last year, indicating the strong response from investors.

Moreover, the IPO pipeline remains strong as 27 companies, with approval from markets regulator Securities and Exchange Board of India (Sebi) to list, are looking to raise ₹28,500 crore, while another 36 firms—looking to raise about ₹40,500 crore—are awaiting the regulator’s approval. Pranav Haldea, MD of PRIME Database Group, says: “The next couple of months should see several IPOs being launched before a pause on account of the general elections.”

All in all, the markets look poised for another robust run in 2024. **BT**

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- Projections by ICICI Securities hint at the benchmark BSE Sensex hitting over 83,000 by December 2024

